

3. *Income*

Investment income is a critically important link between the short and the long run. Income is also a dramatic illustration of the important principle of Hegelian dialectics that changes in quantity ultimately become changes in quality.

For the short-term trader, the dividend on a stock is a gauge to valuation, but the actual money income from the dividend is irrelevant. The trader's return will be dominated by price change, because prices tend to move in ranges that far exceed one year's income receipt. Now expand the time horizon. Income payments pile up over time, altering the character of the return structure. Investors who are able to reinvest income now begin to have the opposite desire from short-term traders: traders want prices to rise so they can sell, while investors reinvesting income are buyers and must want prices to fall while the buying process is going on.

In the case of bonds, this story is obvious. Current coupons being what they are, interest and interest-on-interest soon prevail over price change and, for long-maturity bonds, account for an overwhelming share of the total return.

The story in the stock market is similar in character, but few people take notice of it. If you had put a dollar in the stock market at the end of 1925 and just let it appreciate, spending all the income you received over those 66 years, you would have \$30 today. If you ignored the price appreciation and simply piled up the sixty-five years' worth of dividends, without any reinvestment income, you would have a pile equal to \$20. Not bad. In fact, given the starting period in 1925 and the intervening stock market crash of 1929 to 1932, your growing pile of dividends would have exceeded the market value of your portfolio for thirty-five years from 1930 to about 1965; the dividend pile fell behind the portfolio value by a meaningful amount only after 1982—fifty-seven years after your original purchase.